

good chance that even a large part of your pension plan is invested in equity mutual funds for that very reason. The ubiquitous advice from banks is that you should hold a combination of equity mutual funds and bond mutual funds and that the younger you are, the larger the weight of the equity funds should be. The reason for the last part is that, although equities do tend to go up in the long run, they are more volatile than bonds and you should take higher financial risks when you are younger since you have time to make your losses back. Furthermore, the advice is generally that you should prefer equity mutual funds over buying single stocks to make sure that you get sufficient diversification and you participate in the overall market instead of taking bets on individual companies which may run into unexpected trouble down the road.

This all sounds very reasonable and makes for a good sales pitch, at least if the core assumption of equities always appreciating over time holds up in reality. The idea of diversifying by holding many stocks instead of just a few companies also sounds very reasonable, given that the assumption holds up that the correlation between stocks is low enough to provide the desired diversification benefits of lower risk at equal or higher returns. Of course, if either of these assumptions turns out to be disappointing in reality, the whole strategy risks falling down like the proverbial house of cards.

In reality, equities as an asset class has a very high internal correlation compared to most other types of instruments. The prices of stocks tend to move together up and down on the same days and while there are large differences in overall returns between a good stock and a bad one, over longer time horizons the timing of their positive and negative days are often highly related, even in normal markets. If you hold a large basket of stocks in many different countries and sectors, you still just hold stocks and the extent of your diversification is very limited. The larger problem with the diversification starts creeping up in times of market distress or when there is a single fundamental theme that drives the market as a whole. This could be a longer-term event such as a dot com bubble and crash, a banking sector meltdown and so on, or it can be a shorter-term shock event like an earthquake or a surprise war. When the market gets single-minded, the correlations between stocks quickly approach one as everyone panic sells at the same time and then re-buys on the same euphoria when the problems are perceived to be lessened. In these markets it matters little what stocks you hold and the diversification of your portfolio will turn out to be a very expensive illusion.

Then again, if stocks always go up in the long run, the correlations should be of lesser importance since you would always make the money back again